Topic 5
Savings products

Learning outcomes

After studying this topic, students will be able to:

- differentiate between different financial services products for savings; and
- begin to evaluate lifelong financial planning, by understanding that people's savings needs change as they pass through the various life stages.

Introduction

This topic focuses on saving for the immediate and short term: time frames of a few days to two or three years. Saving for the longer term, including making investments by buying items such as stocks and shares, property and art, or by paying into a pension, is covered in Unit 2.

People save so that they have the funds to pay for goods and services in the future. Savings are therefore 'delayed spending'. The future payments may be for:

- needs – such as paying a deposit on a rented flat;
- wants – items that savers cannot afford on a day-to-day basis, such as a computer;
- aspirations – goods or services that they would like to have or to experience in the future, such as a holiday.

People may be motivated to save by wanting to buy a specific good or service. Another important reason why people save is because they feel safer if they have money to pay for unexpected expenses or have surplus income (that is, they have some of their income left after paying for their usual spending).

When choosing a savings product, people need to consider the factors shown in Figure 5.1. This topic explores each of these factors.



Figure 5.1 Factors to consider when choosing a savings product

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Savings products are available from a range of providers such as banks, building societies, credit unions and friendly societies. These providers use the money deposited in savings accounts to lend to borrowers. The difference between the higher interest charged on loans and the lower interest paid on savings contributes to the provider's income. How providers earn money is explored in more detail in **Topic 6**.









The Martins: savings

People save at each stage of the life cycle, as the Martin family demonstrate.

Ross (aged 4) saves money in a piggy bank. Pat pays Ross his pocket money every Saturday and Ross's mother, Alice, keeps the cash in a separate purse for him. Every Friday he puts any money that is left over into his piggy bank. If he wants a toy and there is not enough money in his pocket money purse, Ross and Alice open the piggy bank and use the money from his savings to make up the difference, if possible. Sometimes Ross has to wait longer for his toy or choose a cheaper option.

Pete (aged 16) is saving for a camera and has set himself a deadline of six months. He knows the asking price of the camera he wants and has calculated how much he must save from his allowance to accumulate this amount of money in six months' time.

Kathy (aged 19) is saving for the deposit and household items she will need when she moves into a rented flat next year.

Alice (aged 23) does not have enough income to save money. If she has any surplus money when her next unemployment benefit is paid, she keeps it in her current account until she needs it. Alice makes saving decisions for Ross and has opened a building society savings account for the money he receives as gifts and any money left over from the Child Benefit she receives for him.

Pat (aged 43) is unable to save at the moment because most of her income is spent on groceries and clothes for the family, and on allowances for Kathy, Pete and Ross. Any surplus she has, she uses to help Alice. This situation will change next year, however, when Kathy leaves home. Pat would like to save for her retirement.

John (aged 45) saves about £250 per month for gifts and emergencies. Last month, for example, he used some of his savings to replace badly worn tyres on his car. The balance on this savings account is only £50 because he also needed to buy birthday gifts for his sister. John is also paying into a pension to provide an income for him and Pat in retirement. He has just received an inheritance of £4,000 from an uncle's estate.

Dora (aged 68) has a savings account for her funeral expenses. She also saves whenever she has a surplus from her pension so she can buy gifts and treats for her family.

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5.1 Return on savings

The return on savings is the interest that the provider pays the account holder and is expressed as an annual equivalent rate (AER), such as 2.2% AER. The AER is the interest that will be earned on the money in one year and takes into account how often the provider pays the interest (for example, monthly or annually), the effect of compounding the interest and any fees and charges. All providers must use the same formula to calculate the AER they quote in advertising so that people can compare the return on different savings products. This formula is set out in the Code of Conduct for the Advertising of Interest Bearing Accounts published jointly by the former British Bankers' Association and the Building Societies Association.

When comparing the return on savings it is important that people compare like with like, for example AERs or gross figures (before income tax). Some provider adverts show a 'headline' interest rate using a large font. Potential savers need to explore what this headline rate means before making a decision about which account to use.

For example, Figure 5.2 shows two adverts for savings accounts. The Dale Bank savings account has a headline rate of 2.15% compared with a headline interest rate of 0.95% on the Hill Bank Saver; it looks as though Dale Bank's account offers more than double the return offered by Hill Bank. However, the Dale Bank headline rate includes a first year bonus of 1.75%. This means that from year two onwards the saver receives 0.4% AER on their savings. Hill Bank Saver pays 0.95% gross every year. To get the greatest return on their savings, people could save with Dale Bank for one year and then switch to the Hill Bank Saver.

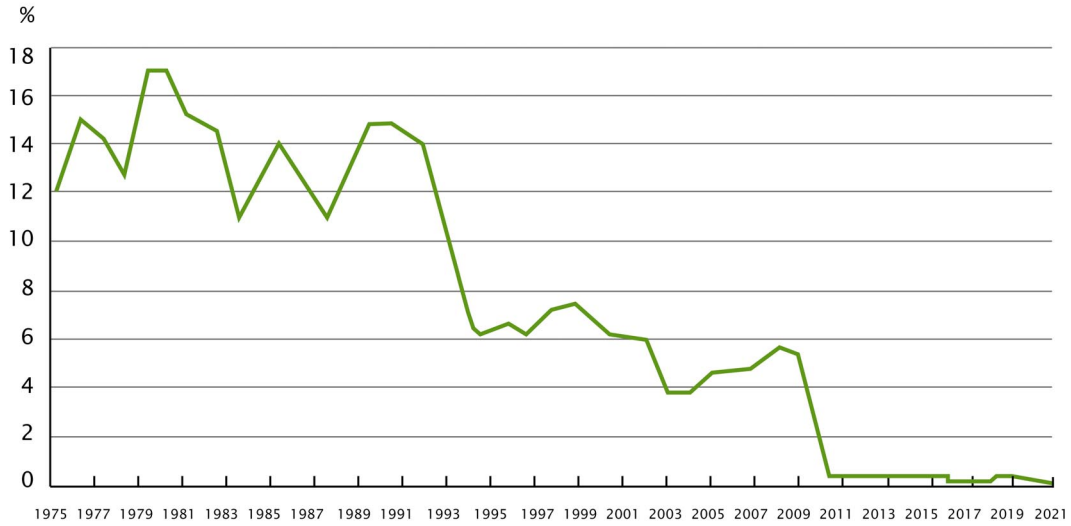
Figure 5.2 Example adverts for savings accounts



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Providers set the AER on a particular product in relation to the Bank of England's Bank rate and the savings rates offered by other providers in the market. The Bank of England uses the Bank rate to control the interest rates that providers offer on both savings and loans and so to control the rate of inflation. The Monetary Policy Committee (MPC) of the Bank of England meets regularly to consider whether to change the Bank rate. Bank rate was held at the low level of 0.5% from March 2009 to August 2016, when it was lowered again to 0.25%. After increasing slightly, it was lowered to 0.1% in March 2020 in response to the economic shock caused by Covid-19, ie coronavirus. In December 2021 it was increased for the first time in three years to 0.25%. Figure 5.3 illustrates how much Bank rate has changed over time. In 1991 Bank rate varied between 10.38% and 13.38%.

Figure 5.3 UK Bank rate, 1975–2021



Source: Bank of England (no date a)

A low Bank rate means that savers receive low returns on their savings. The theory is that this will encourage people to spend rather than to save and so ease the recession. The effects of economic conditions such as recession or boom are discussed in more detail in **Unit 2**.

There are a number of factors that impact the return offered by providers.

5.1.1 The amount of money that is saved

In general, larger sums of money earn higher rates of return. For example, Tom is receiving 0.10% AER on his savings of £500 while Kevin has savings of £1,000 in the same type of account and earns 1.50% AER. Usually, a minimum amount has to be deposited in order to open a savings account, but this can vary from as little as one pound to thousands of pounds.

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5.1.2 How often money is saved

People can usually achieve higher rates of return on their savings by saving a specific amount each month. For example, Cho saves £100 a month in a regular saver account that pays 1.35% AER. If he chose to save the money in an account with the same provider that was not designed for regular deposits he would earn only 0.45% AER on his savings.

5.1.3 How long the money is saved

The longer the term that the savings are held, the higher the interest rate tends to be. For example, Claire has a six-month fixed savings bond that pays 1.30% AER while her sister Diane has the two-year version of the product, which pays 2.10% AER. Their older sister Rebecca has the four-year version of the product, paying 2.40% AER.

There are different categories of savings account:

- **Instant access accounts** – a saver can withdraw money immediately from these at any time with no charge.
- **Notice accounts** – a saver has to give notice, that is, to advise the provider a set amount of time before withdrawing money. Notice accounts usually pay higher AERs than instant access accounts. Failing to give notice usually results in the loss of the interest earned during the notice period – for example, if the notice period is 90 days, a saver who did not give notice would lose 90 days' worth of interest.
- **Fixed period accounts or bonds** – these products pay a fixed AER for a set period of time, such as six months or two years. The provider may allow only limited withdrawals or no withdrawals during the term. These products usually pay higher AERs than instant access accounts and notice accounts with shorter terms.

One advantage of fixed period accounts or bonds is that the fixed rate of return means savers know what the AER will be throughout the life of the product. Products that are instant access or notice accounts usually have variable interest rates that move up and down with changes in the Bank rate. Savers are therefore uncertain about how much interest the provider will pay over the long term.

5.1.4 The number of withdrawals the saver can make

Savings accounts called 'instant access' or 'easy access' allow as many withdrawals as the saver wants, whereas some accounts are called 'restricted access' and only allow a certain number of withdrawals to be made each year. For example, Will's savings are earning 0.50% AER in an instant access account while Ted's savings are earning 2.00% AER from the same provider in a product that allows a maximum of five withdrawals per year.

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5.1.5 The account application and operation channels

Accounts that the customer applies for and operates online tend to offer higher rates of return than accounts that are operated by a passbook in a branch, or by cash card, telephone or post. This is because the customer does most of the administrative work themselves when operating a product online (such as typing in their name and address details and transferring funds between accounts). Providers have to pay the costs of running branches and paying staff for customers who want to go into a branch. For example, Polly has an instant access savings account operated by cash card in branch that pays 0.10% AER while Heather's savings earn 0.45% AER in an instant access online-only account with the same provider.

5.1.6 The tax status of the account

In the March 2015 Budget, the Conservative–Lib Dem coalition government announced changes to the way that savings interest is taxed. (See **section 5.3** for more information about tax on savings interest.) The interest earned on some accounts is tax-free while on other accounts the saver must pay tax on any interest that exceeds their 'personal savings allowance'.

5.1.7 Introductory bonuses

Some savings accounts have fixed introductory bonuses that boost the return in the first year of the account. Earlier we looked at the example of Dale Bank (Figure 5.2). Another example is Tai's savings account, which pays 1.70% AER in the first year. This includes a fixed 1.19% bonus for the first 12 months. After the first year, her savings will earn 0.51% AER. Tai makes a note in her calendar to transfer her savings after one year to an account with a higher return.

5.2 Impact of inflation

Topic 1 explained that inflation – that is, a general rise in the price of goods and services – affects the purchasing power of money because £100 in one year's time buys less than £100 buys today. Savers need their money to earn an AER that is the same as the rate of inflation to maintain the purchasing power of their money. If the AER is higher than inflation, the real value of their savings will grow because its purchasing power is increasing. People can find out the current rate of inflation at the Bank of England website www.bankofengland.co.uk.

The Bank of England is tasked with managing inflation to meet the government's target of 2.0%. Two indices are used to measure inflation:

- the Consumer Prices Index (CPI); and
- the Retail Prices Index (RPI).

The CPI is used to measure the inflation rate managed and quoted by the Bank of England.

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Both the CPI and RPI measure inflation by calculating the average change in prices of a basket of goods over a 12-month period. An inflation rate of 1.8%, for example, would mean that overall prices were 1.8% higher than they were 12 months ago.



Tablet computers are a recent addition to the basket of goods used to measure inflation.

The basket of goods used as the basis of the CPI or RPI is made up of around 700 consumer goods and services that represent the spending patterns of UK households. Around 180,000 separate price quotations are used every month from 150 areas of the country to compile the indices. The prices are then weighted according to the pattern of UK household spending, so if one good represents 10% of an average household's spending then it is weighted as 10% of the basket.

Goods and services are regularly added to and removed from the basket to reflect current spending preferences – for example, coffee pods and microwavable rice were added in 2016, half-chocolate-coated biscuits were added in 2017, body moisturising lotion was added in 2018, smart speakers were added in 2019, and gluten-free breakfast cereal was added in 2020, while during that time gloss paint, organic apples and sliced turkey were removed (ONS, 2014; ONS, 2015; ONS, 2016; ONS, 2017; ONS, 2018; ONS, 2019; ONS, 2020).

The main difference between CPI and RPI is that RPI includes mortgage interest payments and other owner-occupier costs, while CPI does not.

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Inflation caused prices to increase considerably over the 53 years between 1955 and 2008. Table 5.1 shows how much people needed to spend in 2008 for every £1 spent on a good or service in 1955.

Table 5.1 Spending needed in 2008 for every £1 spent in 1955

Rail fare	£47.01
Petrol	£24.75
Football ticket	£85.52
Cooker	£10.64
Rent	£47.37
Haircut	£44.26
Gas	£22.73
Electricity	£30.80

Source: Bank of England (no date b)

Since 2008 prices have continued to increase. For example, private rents averaged £153 per week in 2008–2009, compared with £201 per week in 2019–20 (GOV.UK, 2020). The average annual domestic electricity bill rose from £539 in 2010 to £696 in 2020 (Statista, no date).

Table 5.1 illustrates that the prices of different goods and services grow at different rates over the period and that an inflation rate is an average across a wide range of goods. The causes of inflation, such as a greater demand for goods and changes in wages, are explored in **Unit 2**.

5.3 Taxation

Since April 2016, providers pay all interest on savings accounts gross (before tax) and savers pay any income tax they owe. Savers have a 'personal savings allowance' for the amount of savings interest they receive before any income tax is charged. This allowance is £1,000 for basic-rate taxpayers and £500 for higher-rate taxpayers. Additional-rate taxpayers do not receive a personal savings allowance.

In addition, savers who earn less than the personal allowance for income tax can use it to earn more interest tax-free. They benefit from a 'starting-rate band' of £5,000 above the personal allowance. For example, Heather was made redundant last year. Since then she has had a job that is only part-time. She earns below the personal allowance threshold and so does not pay income tax. Heather has money in a savings account that she saved before being made redundant. The interest that she earns

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on these savings is tax-free, unless she earns enough interest to exceed the personal allowance and the starting-rate band, which is very unlikely.

5.3.1 Individual savings accounts (ISAs)

The interest on individual savings accounts (ISAs) is paid free of tax. The government introduced ISAs in 1999 to encourage people to save. They are popular with savers, whether or not they pay tax, because the AERs tend to be very competitive. In 2014 a new ISA limit was introduced, and restrictions were removed on how much money could be saved in stocks and shares.

The money in an individual savings account (ISA) can be invested in cash and / or stocks and shares. Cash ISAs are available for savers from the age of 16, and stocks and shares ISAs are available for savers from the age of 18. The interest on a cash ISA is paid free of income tax and does not count towards the saver's personal savings allowance. The return on a stocks and shares ISA is paid free of income tax where the return is in the form of interest (where the return is paid in the form of dividends, income tax is payable). Any growth in the value of the capital invested in a stocks and shares ISA is not subject to capital gains tax.

During the annual Budget speech, the Chancellor of the Exchequer sets the maximum amount that can be deposited into an ISA in any one tax year. This amount can be split in any proportion between cash and stocks and shares (GOV.UK, no date).

Savers are only allowed to contribute to one cash ISA and/or stocks and shares ISA in a tax year.

There are different cash ISA products that offer instant access or fixed terms. For example, Jenny opens an instant access cash ISA on 6 April. She deposits money into the ISA whenever she can and reaches the maximum amount that can be paid in. In the March 2015 Budget, the Conservative–Lib Dem government reformed the cash ISA rules so that savers can withdraw money and replace it if the provider offers a flexible ISA (GOV.UK, 2015). This means that Jenny can take money out of her ISA and put it back in later, up to the maximum amount, without the money losing its tax-free status.

Savers can transfer funds from a cash ISA into another cash ISA or into a stocks and shares ISA during a tax year. They can also transfer funds from one stocks and shares ISA to another stocks and shares ISA, and from a stocks and shares ISA to a cash ISA. However, such transfers depend on the terms of both the original ISA and the new one – some ISAs do not allow funds to be transferred in, for example.

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Transferring funds between ISAs

Reuben has an instant access cash ISA with a bank that pays 0.5% AER. He paid in £2,000 during the tax year. Reuben wants to transfer all his savings from this cash ISA to a cash ISA at a building society that pays 2.10% AER. The building society will accept transfers into its cash ISA from other cash ISAs and there are no penalties from the bank for transferring out of its product.

Reuben was planning to move his funds by withdrawing the money in cash from the bank ISA at his local branch, and paying it into his new ISA at the building society branch across the street. At the bank counter, the assistant explains to him that he needs to complete a form for the building society, which will then make the transfer for him. Transfers cannot be made by withdrawing the cash from one ISA and paying it into another because of the rules on how many ISAs a saver can contribute to in one tax year and the deposit limits. There are no limits on the number of ISAs a saver can hold over time, just on the number that they can pay into during any one year.

5.3.2 Junior ISAs

As well as the adult ISA described above, there is a Junior ISA designed for savers under 18, with its own specified deposit limit. The Junior ISA also pays interest free of tax and offers cash and / or stocks and shares options. The Junior ISA replaces the Child Trust Fund (CTF) account, so is only available to young savers who do not have a CTF. From 6 April 2015, savers with a CTF are able to transfer the funds to a Junior ISA if they wish. Parents and guardians with parental responsibility can open a Junior ISA for savers who are under 16 years old; people aged 16 or 17 can open their own Junior ISA.

Anyone can pay money into a Junior ISA as long as they do not exceed the deposit limit for the tax year – so, for example, parents and grandparents can pay into the Junior ISA to save on the child's behalf. However, only the child named on the Junior ISA can withdraw money from the account, and they cannot do this until they are 18 years old.

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5.3.3 Help to Buy ISAs

Help to Buy ISAs were available from 1 December 2015 from a range of banks and building societies.

- First-time buyers can save up to £200 a month towards their first home in a Help to Buy ISA and the government will boost their savings by 25% when the account is closed. That is a £50 bonus for every £200 saved and all interest earned is tax free.
- First-time buyers who save £12,000 in their Help to Buy ISA will be eligible for the maximum government bonus of £3,000.
- As the accounts are for individuals, couples can save separately and both receive the government bonus.

The Help to Buy ISA was available for new savers until 30 November 2019. It was replaced by the Lifetime ISA, available since April 2017. People with a Help to Buy ISA can transfer their savings into a Lifetime ISA if they wish.

5.3.4 Lifetime ISAs

Anyone aged over 18 and under 40 can open a Lifetime ISA to help them buy their first home or to save for their retirement. However, most providers do not offer Lifetime ISAs.

Up to £4,000 can be saved into this ISA every year until the saver reaches the age of 50. The government will add a bonus of 25% of the saver's contributions at the end of every tax year. This means that savers who add £4,000 in one tax year will receive a bonus of £1,000.

Savers can withdraw money from their Lifetime ISA when they buy their first home or when they reach 60 and keep the government bonus. Savers who withdraw the money before age 60 and who are not buying a first home will pay a 25% withdrawal charge on the total, losing the government bonus.

Lifetime ISA contributions count towards the saver's ISA limit for the tax year.

5.4 Safety

One of the reasons that people save is to have funds to call on in emergencies and in old age. Safety – that is, the likelihood that the money saved will be available when needed in the future – is therefore an important factor when people decide where to save money. Most people place money in products they consider reasonably safe before considering deposits in more risky products.

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5.4.1 Financial Services Compensation Scheme (FSCS)

The Financial Services Compensation Scheme (FSCS) guarantees up to £85,000 of savings in UK banks, building societies or credit unions that are authorised by the UK financial services regulator, the Financial Conduct Authority (FCA). This means that if the provider is in default – that is, it is unable to pay account holders their savings – the FSCS will pay 100% of what is owed up to £85,000 per person per provider. According to the FSCS, 98% of the UK population has less than £85,000 in savings and would therefore be covered for all of their savings under the compensation scheme (FSCS, no date).

In some cases, a number of banks and building societies belong to a single financial services group. This means that they share authorisation with the regulator and so are counted as one provider. For example, the Bank of Scotland plc authorisation covers the Bank of Scotland, Birmingham Midshires, Capital Bank, Halifax and Intelligent Finance. All five banks count as one provider, so if a saver had £50,000 in an account provided by Halifax and £50,000 in a Birmingham Midshires account, only the first £85,000 of their savings would be protected. Savers can check how their provider is authorised on the FCA's website (www.fca.org.uk).

The FSCS is an independent body set up under the Financial Services and Markets Act 2000 (FSMA) and makes no charge to savers for using its service.

5.4.2 National Savings and Investments (NS&I)

People who want 100% of their savings guaranteed, regardless of the amount, can save with National Savings and Investments (NS&I) which is backed by Her Majesty's Treasury. This provider offers a range of savings products including cash ISAs, instant access savings accounts, and longer-term savings. **Topic 7** provides more details about NS&I.

5.4.3 Cash versus stocks and shares

This topic focuses on cash savings products rather than investments linked to stocks and shares. These types of investment are much more risky than cash as they gain or lose value according to movements in the stock market, which can be unpredictable. **Unit 2** explores the risk and reward of investing in stocks and shares.

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5.5 Choosing savings products

Table 5.2 summarises the product features that people need to consider when choosing a savings product. To choose the most appropriate savings product, people need to consider how these features match their personal circumstances, such as their need to pay bills and have funds for emergencies, and the timing of their wants and aspirations. The case study below uses the Martin family to illustrate how these choices can be made.

Table 5.2 Summary of product features to consider when choosing a savings product

Features	Options	Considerations
Return	AER paid (the gross amount).	◆ Is the AER higher than other savings options? ◆ Some products are tiered with larger amounts of savings earning higher AERs.
Inflation	An AER that is higher or lower than the rate of inflation.	◆ An AER that is higher than inflation will maintain the purchasing power of the money saved.
Tax status	Tax-free ISA or interest paid gross (most savings accounts).	◆ ISA limits for the tax year. ◆ Cash ISAs are safer than stocks and shares ISAs.
Access / term	Instant access accounts (also known as easy access).	◆ Money is available whenever the saver needs it with no charge, but the product may have a lower AER than notice or fixed accounts. ◆ Variable AER so the rate will fall and rise as Bank rate changes.
	Notice accounts.	◆ Require the saver to give notice – that is, to warn the provider a set amount of time before withdrawing money, such as 90 days. ◆ Usually pay higher AERs than instant access accounts. ◆ Failing to give notice usually results in the loss of the interest earned during the notice period.
	Fixed accounts, also known as bond.	◆ Fixed AER for a set period of time such as six months or two years. Savers know what return they will receive. ◆ Limited or no withdrawals allowed during the term. ◆ Usually pay higher AERs than instant access accounts.
Frequency of deposits	Regular savings accounts.	◆ Require the saver to deposit the same amount of money each month.

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Operation	Passbook or cash card in branch, cash card in an ATM, online, telephone, post.	◆ Tend to offer higher AERs. ◆ Convenience. ◆ Access to a computer. ◆ Speed of transactions, especially by post.
Safety	Covered by the FSCS or provided by NS&I.	◆ FSCS covers UK providers authorised by the FCA. ◆ Check that different providers are authorised separately so savings are covered. ◆ NS&I products are backed by HM Treasury and 100% guaranteed whatever the amount saved.
Provider	Bank, building society, credit union, NS&I.	◆ Convenience such as location or the saver already holds other products with the provider. ◆ Preference – for example, the saver likes the customer service offered.
Eligibility	◆ Age limits. ◆ New or existing customers.	◆ Some products are only available to savers in a specific age bracket or for existing customers of other products, for example people who hold current accounts with the provider.

The Martins: choosing the right savings products

The town where the Martins live has a number of financial services providers including Penway Bank* where they hold their current accounts and MutualSave Building Society** where Pete and Alice hold accounts. The Martins decide to review how they save their money. They start by checking that both providers are covered by the FSCS and are reassured that their savings will be covered up to £85,000 per person per provider, although it is very unlikely any of them will be able to save so much.



Aged 16 and still at school, **Pete** is saving for a camera and wants to buy it in six months' time. So far Pete has saved in an instant access account with MutualSave that he opened shortly after his 16th birthday. This account pays 0.50% AER variable, is linked to his current account with the building society and is operated online.

Although Pete wants to save he finds it difficult because there is always something he would like to buy. In the three months since he opened the savings account he has paid £60 in and withdrawn £55. He thinks that if he has a savings account that prevents him from making so many withdrawals, he is more likely to save up the £140 required for the digital camera he wants.

Pete thinks that saving online would be a good option for him and decides to change from his instant access savings account to an online account that pays 2.00% AER variable as long as he makes five withdrawals or fewer in a year.

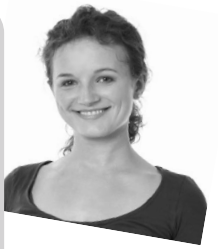
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Kathy, aged 19, is saving for the deposit and household items she will need when she moves into a rented flat next year. Kathy has a job as an apprentice hairdresser. She does not earn enough to pay income tax this year but is expecting a substantial pay increase next year when her apprenticeship ends and she is given a full-time job. She has been saving money in her current account but this money earns no interest so she wants to move her savings and continue saving in an account with a return. Kathy has heard about cash ISAs and likes the idea of starting a savings account now that will still suit her when she starts paying income tax next year.



Kathy visits the websites of various providers and notices that cash ISAs tend to have high AERs compared with other savings products. She cannot find one that has an AER that is higher than inflation though and decides to find the best AER for the small sums that she can afford to save during the year. She wants instant access in case she needs the money in an emergency and is willing to operate the account online. She rejects cash ISAs that require a minimum deposit of £1,000 or more and ones that require her to move her current account from Penway Bank to the cash ISA provider. She decides to open an online cash ISA with MutualSave because the AER is competitive at 2.25% and the minimum deposit is just £100, which she can afford.

Alice needs to choose a savings product for her son Ross, aged 4. She has opened an instant access savings account with the MutualSave building society that is operated by passbook in the branch. The AER it pays is only 0.10% and when she hears the AER that Pete is getting on his new savings account, Alice realises that she could earn more interest on Ross's money.



Alice rejects the idea of putting all the money that Ross receives as gifts and she gets as Child Benefit into a Junior ISA because the money cannot be withdrawn until Ross is 18 and some of it will be needed before then. However, she likes the idea of putting some money into a Junior ISA for him so that it cannot be accessed until he is an adult. Alice pays £500 into the Junior Cash ISA now and plans to add more money next tax year.

Alice closes the passbook account and puts the rest of the savings into an instant access online savings account that earns 0.45% AER. This account is in her name but she thinks of it as belonging to Ross.

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John (aged 45) already saves about £250 per month for gifts and emergencies in an instant access savings account operated online that offers 0.45% AER. He also has his inheritance of £4,000 to save.

After researching products online, John decides to deposit the £4,000 in an instant access online cash ISA with Penway Bank which pays 2.55% AER, and the cash ISA is a tax-free product. John qualifies for this product because he holds a Penway current account and can deposit more than £2,000 immediately. John decides to close his low-interest savings account and put the £50 balance into the cash ISA too so it earns a greater return. He will also pay £250 a month into this ISA until he reaches the cash ISA limit.

When John has used his cash ISA limit for the tax year, he will open an online regular savings account with MutualSave that currently pays 1.85% AER on monthly deposits between £200 and £499. This account allows unlimited free withdrawals so John knows that he can access the money in emergencies.



Pensioner **Dora** has an instant access savings account for her funeral expenses, which she holds at Salise Bank* in the town where she grew up, more than 100 miles away. Dora operates this account by telephone and post because she enjoys talking to the customer service representatives on the telephone. As she feels she has already saved enough money for her funeral, Dora has not deposited any more money into this account this year. If she has any surplus money she keeps it in her current account until she needs it.

* Fictitious banks and ** a fictitious building society created for the case study.

Key ideas in this topic

- Why people save.
- The impact of inflation and tax on savings.
- Product features that affect the return savers receive.
- How safe the deposits in savings accounts are.
- Ways of choosing between savings products, taking into consideration personal circumstances and product features.

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